

works like a 401(k) for civilian and military federal employees—there's a \$16,500 maximum contribution per year. Unfortunately, the military doesn't offer any kind of matching program. (For that reason, you may be better off with a Roth IRA, so see Chapter 6.) Also, reservists called to active duty can take early distributions from their IRAs or 401(k)s without paying the 10% penalty everyone else must pay, although they do have to pay any tax owed.

- **Simpler bankruptcy rules.** National Guard members and reservists who served at least 90 days in Iraq or Afghanistan can declare bankruptcy even if they earn more than the average salary in their home state. This is a special exemption to the normal bankruptcy rules. Of course, bankruptcy is never a good option; it will wreck your credit report and make it harder for you to get low-rate auto loans and home loans in the future. Still, if it's your only option, it will be easier for you than someone who hasn't been in the military.
- **Family leave.** If you have a serious duty-related injury, members of your immediate family can take up to 26 weeks off in a 12-month period to care for you. Unfortunately, they will not be paid for that time.
- **A pension, if you stay twenty years.** All military personnel who serve at least twenty years can draw **retirement pay**. This translates into a pension of 50% to 75% of your preretirement working income and is adjusted for inflation thereafter. (Unfortunately, if you leave before the twenty years is up, you don't get any pension at all.)
- **Provide for your heirs.** The sad but true reality of military life is that people die. The immediate family of active duty personnel killed in the line of duty receives \$100,000 tax-free. If you're in active service, you're eligible to buy additional disability and life coverage at a relatively low cost through the government or USAA (www.usaa.com).